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IDX Data Analytics Internship – Summer 2026

California Residential Housing Market Intelligence Report

Analysis Period: January 2024 – April 2026

Market Overview

The California residential housing market remained resilient throughout the analysis period despite fluctuations in transaction activity and mortgage rates. Median home prices remained relatively stable, averaging approximately \$757,000 and generally ranging between \$760,000 and \$790,000. Although prices experienced seasonal declines in January 2025 and January 2026, both periods were followed by rapid recoveries, demonstrating continued buyer demand and market stability.

Market speed varied throughout the period. Average Days on Market ranged from 19 to 33 days, with homes selling most quickly during spring 2024. Market times lengthened throughout late 2025 and peaked at 32.87 days in January 2026 before improving to 23.07 days by April 2026, suggesting renewed buyer activity.

Pricing Trends

Home prices remained remarkably stable despite changing market conditions. Median close prices consistently hovered near the overall average, indicating that sellers maintained pricing power throughout most of the analysis period.

The Average Close-to-Original Price Ratio remained near 99%, demonstrating that homes generally sold very close to their original asking price. While several months exhibited unusual spikes, the overall trend suggests that sellers were largely successful in achieving their pricing expectations. The volatility observed in this metric is likely influenced by outlier transactions and changes in the mix of properties sold each month.

Market Activity

Market activity was strongest during early 2024. New listings peaked at nearly 20,000 properties before gradually declining throughout the analysis period. Although listing activity remained above the long-term average for much of the timeframe, inventory entering the market softened over time.

Closed sales followed a similar pattern. Transactions peaked at 24,770 homes sold during spring 2024 before moderating throughout 2025 and early 2026. Sales volume reached a low of 7,263 transactions in early 2026 before beginning to recover in recent months. While

activity levels have declined from their 2024 highs, the market continues to demonstrate healthy transaction volume overall.

Mortgage rates played an important role in market activity. The average 30-year fixed mortgage rate declined from a peak of 7.06% in 2024 to approximately 6.05% in early 2026. This improvement in financing conditions likely contributed to the recent recovery in buyer activity by reducing monthly borrowing costs.

Competitive Landscape

The competitive landscape remains highly concentrated among a relatively small number of industry leaders. Analysis of the Top 100 Listing Agents shows that a handful of top-performing agents account for a disproportionate share of total sales volume, highlighting the importance of experience, market presence, and established client networks.

Similarly, brokerage activity is dominated by a few major firms. Compass leads all brokerages by a significant margin, generating nearly \$20 billion in closed sales volume. Coldwell Banker Realty and Keller Williams Realty follow as the second and third largest brokerages. Sales volume declines rapidly after the top firms, demonstrating a highly concentrated competitive environment.

Geographic analysis further reveals that housing activity is concentrated within major metropolitan regions, particularly Southern California and the Bay Area. Heat maps of median close prices and homes sold indicate significant regional differences in both pricing and transaction volume across California ZIP codes.

Key Takeaways

1. California home prices remained stable throughout the analysis period, with median close prices consistently near \$757,000 despite changing market conditions.
2. Mortgage rates improved significantly, declining from above 7% to approximately 6%, creating a more favorable financing environment for buyers.
3. New listings and closed sales declined from their early-2024 peaks, indicating a moderation in market activity and housing supply.
4. Homes generally sold near their asking price, with the average close-to-original price ratio remaining close to 99%, demonstrating continued pricing strength.
5. The real estate market is highly concentrated among a small number of top-performing agents and brokerages, with Compass maintaining the largest market share by sales volume statewide.